Examining Donor Preference for Charity Religious Affiliation

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Spring Semester 2024

Religious Affiliation and Charity Donations

- Donations to religiously affiliated charity organizations make up nearly 75% of all charitable donations. (Giving USA, 2017)
- 22% of all religiously affiliated charities and 45% of religious relief and development charities do not report a religious affiliation in their description on their Form 990 (Scheitle, 2010)
- Research Question: Do religiously affiliated charities have a financial incentive to selectively display their religious affiliation?
  - How much does religious belief translate into selecting a charity?
  - How does that belief translate into charitable contributions?
  - Does a lack of religious affiliation drive donor preference to secular charities?
  - Are donor responses consistent with charities affiliated with a religious out-group?
  - Are donor responses consistent across political ideology?
- I answer these questions via a laboratory experiment

Literature on Religious Affiliations and Charitable Giving

- Donations based on organization religious affiliation
  - Chen et al. (2017) demonstrate that joining a team on the microfinance site Kiva.org increases lending and the most popular teams were outwardly Christian or Atheist.
- Paper contributes to the understanding of donor behavior as limited studies on how charity affiliations impact donations
- Donation patterns of religiously affiliated individuals
  - Religious affiliation and religiosity are positive indicators for higher charitable donations in field data (Reitsma et. al., 2006; Bekkers and Weipking, 2011; NCCS, 2017).
  - Religious charitable giving has been shown to be highly income inelastic (James and Sharpe, 2007; Showers et al., 2011; James and Jones, 2011)
  - Religious and secular individuals donate at the same frequency and amount in the lab (Eckel and Grossman, 2004; Anderson and Mellor, 2009; Anderson et al., 2010; Benjamin et al., 2016)
- Paper contributes by examining both donor strength of religiosity and affiliation in a laboratory setting

Religious Language Can Decrease Donations

- In competition between Christian and secular charities:
  - Adding religious language to charity description does not impact donations on the extensive (donation frequency) or intensive (donation size) margins for Christian charities.
  - Affiliation alone does not impact donation magnitude or frequency. However, strength of religiosity is positively related with a larger overall donation.
- In competition between Christian and Islamic charities:
  - Adding religious language reduces donations to Christian charities with affiliation previously omitted on both the intensive and extensive margins.
  - Individuals with a higher strength of religiosity donate at a higher rate; however, no differences along intensive margin
- Across both Intra-Religious and Extra-Religious sessions, donation frequency and average donation decreases to Christian charities with affiliation previously omitted by self-identifying politically liberal subjects

Designing the Experiment

- Three Phased Experiment, with Phase One differing across treatments
- Phase One: subjects select one charity from a list of eight, with varying composition of charities and charity religious affiliation
  - Intra-Religious Competition: A competition for donors within the sub-sector of religiously affiliated charities, among religious charities affiliated with differing faiths.
  - Extra-Religious Competition: A competition for donors between religious charities and secular charities.
  - Masked Sessions: Competition with four charities having their religious affiliation omitted
  - Unmasked Sessions: Competition with religious affiliation information easily identifiable for all charities
- 2x2, between-subject design [Masked Sessions, Unmasked Sessions] x [Intra-Religious Competition, Extra-Religious Competition].

Charity Menu by Type of Competition

		Intra-Religious Competition		Extra-Religious Competition	
	Charity Name Name	Masked Sessions	Unmasked Sessions	Masked Sessions	Unmasked Sessions
Christian 1	World Vision	Unmasked	Unmasked	Unmasked	Unmasked
Christian 2	World Hope International	Unmasked	Unmasked	Unmasked	Unmasked
Christian 3	Opportunity International	Masked	Unmasked	Masked	Unmasked
Christian 4	World Concern	Masked	Unmasked	Masked	Unmasked
Islamic 1	Islamic Aid	Unmasked	Unmasked		
Islamic 2	Islamic Relief USA	Unmasked	Unmasked		
Islamic 3	Life for Relief & Development	Masked	Unmasked		
Islamic 4	Mercy-USA	Masked	Unmasked		
Secular 1	S.H.A.R.E.			Unmasked	Unmasked
Secular 2	Direct Relief International			Unmasked	Unmasked
Secular 3	Oxfam			Masked	Unmasked
Secular 4	Mercy Corps			Masked	Unmasked

Notes: Placement of each charity is randomly determined before each session.

Phase One Christian Mission Statement Variance

- World Hope International
  - World Hope International is a Christian relief and development organization working with all people, regardless of ethnicity, gender, race or religion, to help alleviate poverty and suffering.
- Opportunity International
  - Our vision is a world in which all people have the opportunity to achieve a life free from poverty, with dignity and purpose.
  - Our vision is a world in which all people have the opportunity to achieve a life free from poverty, with dignity and purpose. We respond to Jesus Christ's call to love and serve the poor by emulating the Good Samaritan, whose compassion crossed ethnic groups and religions.

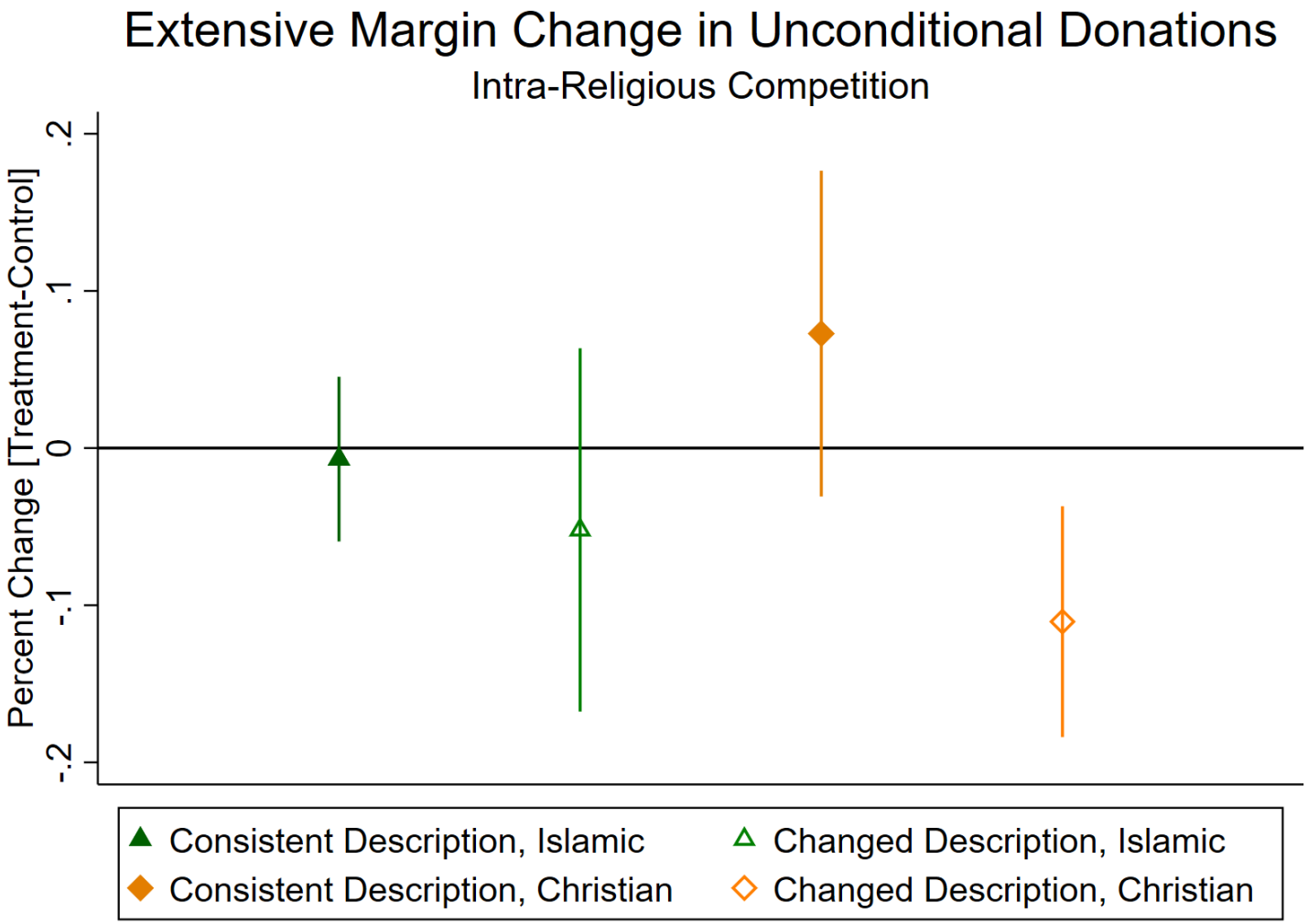
Charity Selection Criteria

- International relief organizations
- Similar quality ratings
- Based in states outside of Florida
- Islamic charities to give a definite religious out-group with a large number of relief and development charities in operation
- Non-restrictive service provisions
- Balance among emphasis on religion based on website descriptions and fundraising materials
    - All descriptions were created by using language included in each charity's website and fundraising materials

Phase Two and Phase Three

- Phase Two: Real Effort Task (from Abeler et. al., 2011):
  - Subjects have 10 minutes to correctly count 0's on as many 10x10 matrices as they can solve.
  - Earn $2.50 per correct table counted. Earnings cap set a $10.00 avoiding income effects.
  - Subjects who do not reach the maximum earnings are dropped from analysis.
  - After task is complete, subjects make their donation decision.
- Phase Three: Demographic Survey
  - Measure of Religiosity - Duke University Religion Index (5-27 pt. scale):
    1. How often do you attend church or other religious meetings? (6 Pts.)
    2. How often do you spend in private religious activities, such as prayer, meditation, or scripture study? (6 Pts.)
    3. In my life, I experience the presence of the Divine (5 Pts.)
    4. My religious beliefs are what really lie behind my whole approach to life (5 Pts.)
    5. I try hard to carry my religion over into all other dealings in life (5 Pts.)

Unmasking Decreases Donations for Christian Charities



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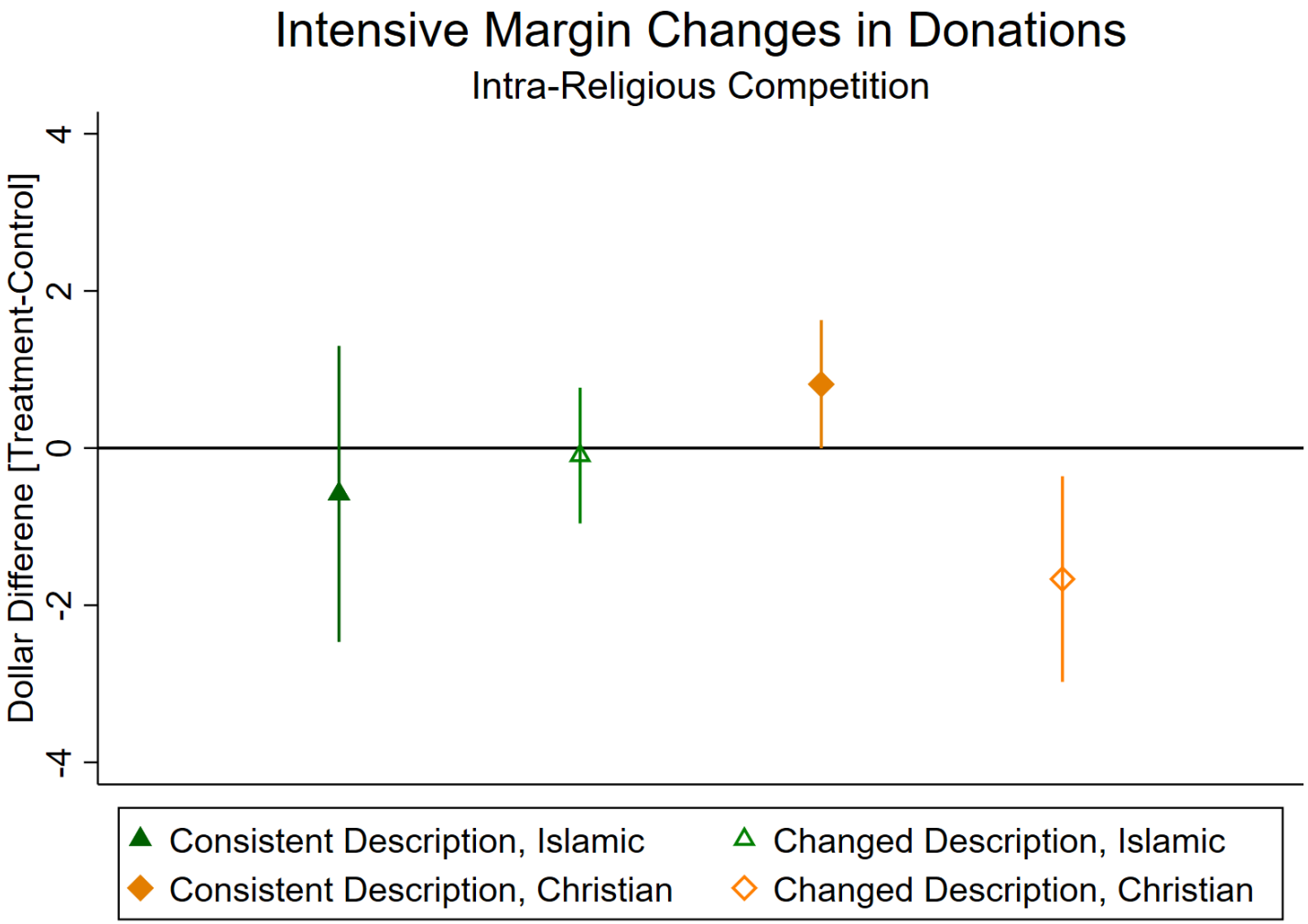
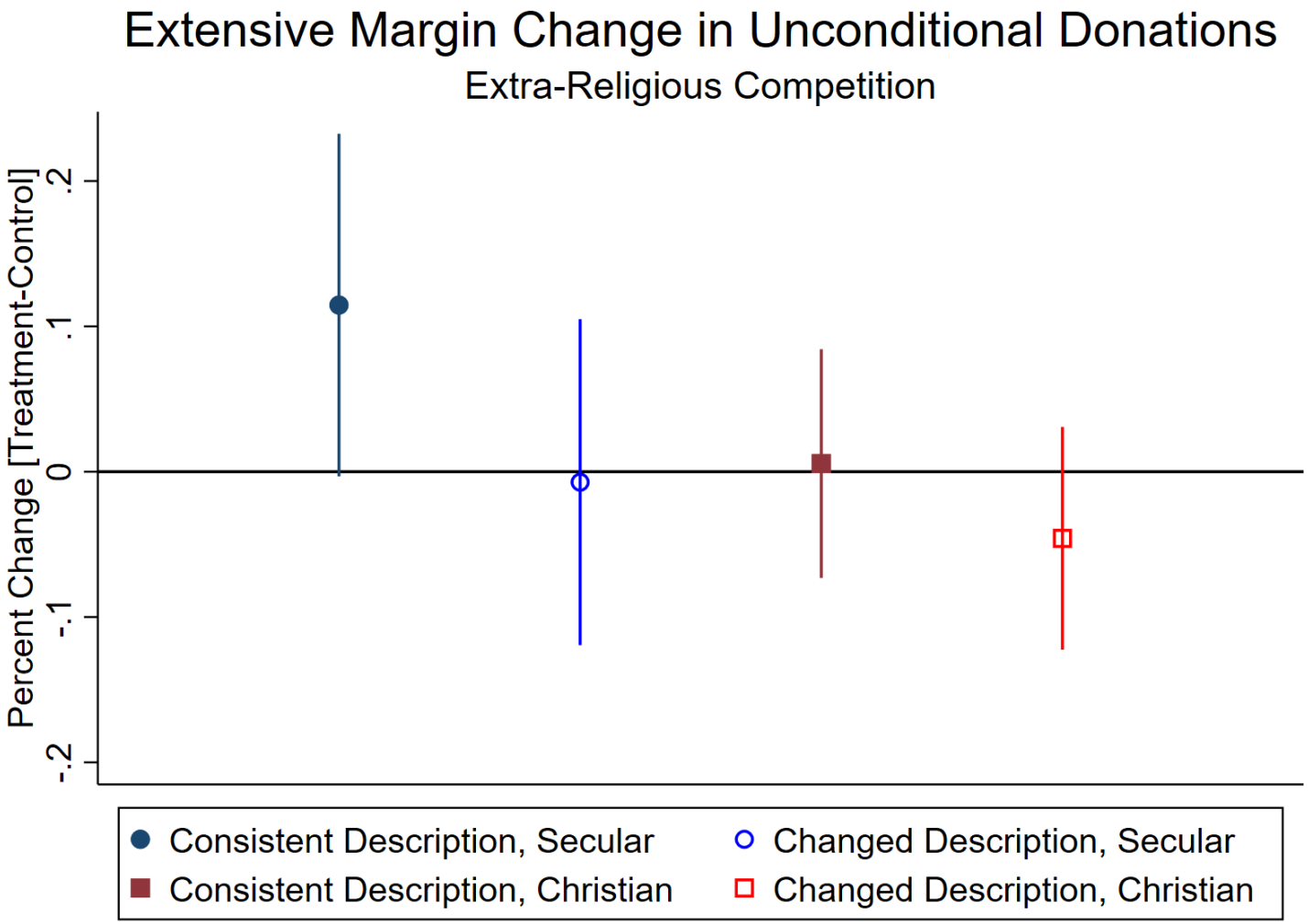
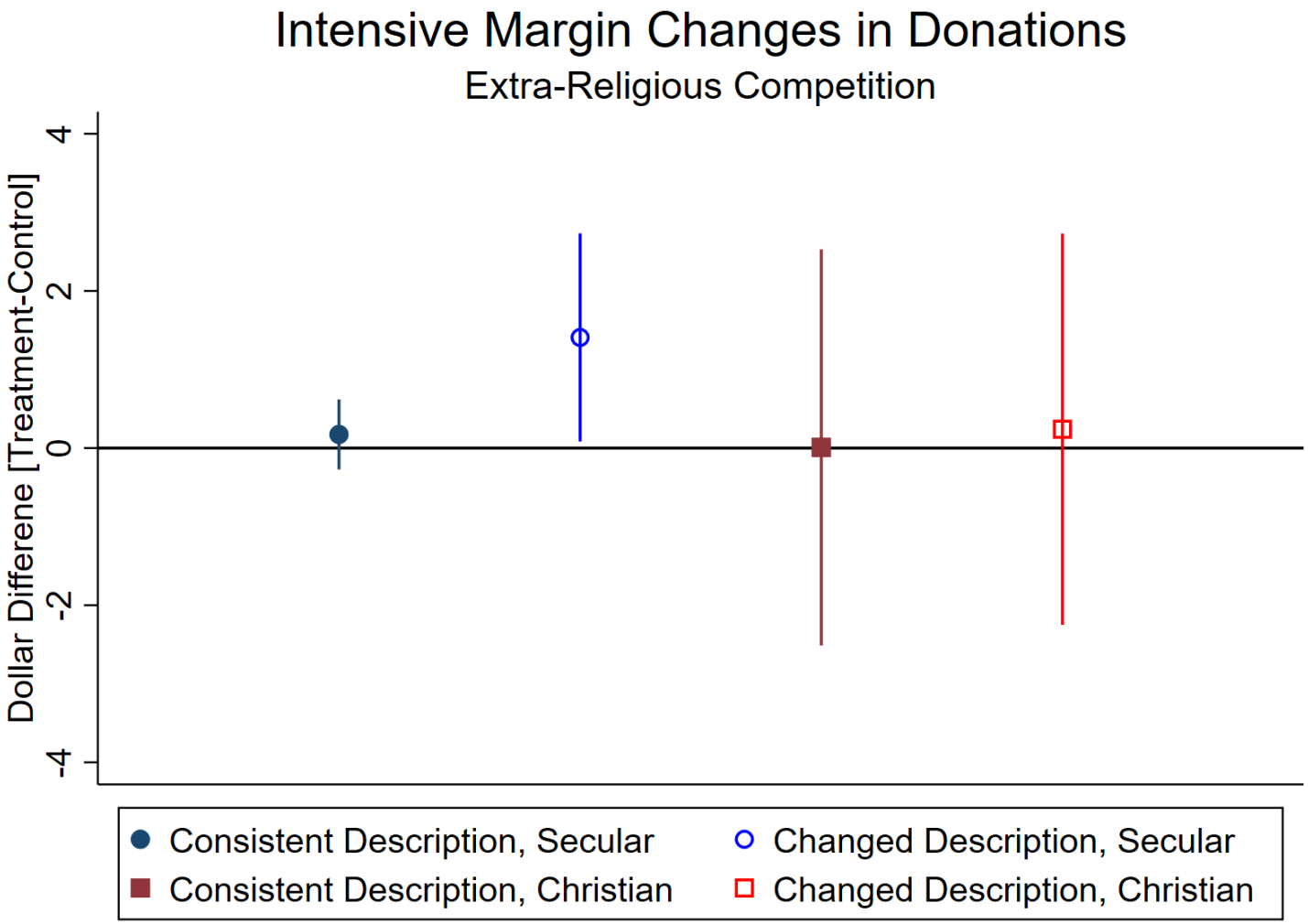


Unmasking Does Not Impact Donation Frequency



Unmasking Increases Donations for Secular Charities



Probit Selection Model, Intra-Religious Competition

	All Charities		All Christian		Christian Unmasked		All Islamic		Islamic Unmasked	
Unmasked	-0.094	-0.984	-0.036	-0.045	-0.114**	-0.145**	-0.053	-0.075	-0.050	-0.065
	(0.078)	(0.082)	(0.072)	(0.073)	(0.043)	(0.483)	(0.073)	(0.073)	(0.070)	(0.069)
Duke Score	0.022*	0.032**	0.013	0.015‡	-0.006	-0.006	0.006	0.010	0.002	0.008
	(0.009)	(0.010)	(0.008)	(0.009)	(0.005)	(0.006)	(0.008)	(0.009)	(0.008)	(0.008)
Christian	0.031	0.055	0.201*	0.178‡	0.075	0.078	-0.151	-0.160	-0.082	-0.070
	(0.102)	(0.115)	(0.305)	(0.104)	(0.055)	(0.068)	(0.099)	(0.103)	(0.097)	(0.100)
Secular	0.065	0.126	0.157	0.163	0.067	0.063	-0.074	-0.076	-0.037	-0.025
	(0.121)	(0.118)	(0.144)	(0.140)	(0.089)	(0.091)	(0.109)	(0.111)	(0.329)	(0.110)
Full Demographic Controls		✓		✓		✓		✓		✓
N	164	164	164	164	164	136†	164	164	164	164

Standard errors robust to heteroskedasticity in parentheses

‡ $p < 0.10$ * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Notes: Robust SE's in parentheses. Controls include those for gender, ethnicity, political beliefs, charity exposure and experience, economics majors, out of state subjects and age. Regressions with *N* denoted by † represent models where certain observations are dropped as they predict failure with certainty, and the hurdle model does not converge.

- Unmasking decreases likelihood of donating to unmasked Christian charities, no impact on Islamic charities
- Higher Duke score correlated with a higher likelihood of donating

Tobit Model, Intra-Religious Competition

	All Charities		All Christian		Christian Unmasked		All Islamic		Islamic Unmasked	
Unmasked	0.009	-0.002	0.322	-0.285	-3.865*	-3.720**	-0.411	0.076	-0.260	0.192
	(1.015)	(0.881)	(2.090)	(0.670)	(1.776)	(1.384)	(1.110)	(1.023)	(1.289)	(1.194)
Duke Score	-0.058	-0.086	-0.240	0.090	-0.220	-0.199	0.071	0.029	0.057	0.003
	(-0.101)	(0.089)	(0.299)	(0.081)	(0.139)	(0.14)	(0.132)	(0.117)	(0.147)	(0.130)
Christian	0.199	0.790	1.010	1.750‡	2.161	1.862	0.432	1.056	0.348	1.002
	(1.314)	(1.119)	(2.769)	(1.040)	(1.605)	(1.593)	(1.249)	(1.329)	(1.566)	(1.722)
Secular	-0.873	-0.864	-1.073	1.161	1.639	1.281	0.166	0.016	0.012	-0.216
	(1.896)	(1.519)	(4.152)	(1.296)	(2.234)	(1.868)	(1.776)	(1.780)	(2.040)	(2.135)
Full Demographic Controls		✓		✓		✓		✓		✓
N	100	100	48	164†	164†	164†	52	52	45	45

Standard errors robust to heteroskedasticity in parentheses

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Notes: Robust SE's. Controls include those for gender, ethnicity, political beliefs, charity exposure and experience, economics majors, out of state subjects and age.

Regressions with *N* denoted by † are Tobit regressions used because the number of subjects donating to this charity type are too small for the hurdle model to converge.

- Unmasking decreases average donations to treated Christian charities, does not impact Islamic charities

Probit Selection Model, Extra-Religious Competition

	All Charities		All Christian		Christian Unmasked		All Secular		Secular Unmasked	
Unmasked	0.095	0.082	-0.039	0.013	-0.039	-0.016	0.126	0.073	0.007	-0.009
	(0.075)	(0.080)	(0.249)	(0.068)	(0.040)	(0.042)	(0.083)	(0.094)	(0.069)	(0.067)
Duke Score	-0.003	0.003	0.017**	0.029***	0.005	0.008‡	-0.027**	-0.032**	0.001	0.001
	(0.008)	(0.008)	(0.006)	(0.008)	(0.005)	(0.005)	(0.009)	(0.010)	(0.007)	(0.007)
Christian	-0.036	-0.031	0.035	-0.058	-0.009	-0.066	-0.081	-0.005	-0.170*	-0.145
	(0.103)	(0.107)	(0.068)	(0.093)	(0.049)	(0.060)	(0.107)	(0.120)	(0.081)	(0.076)
Secular	-0.230*	-0.191	-0.123	-0.178**	-0.079‡	-0.119**	-0.187	-0.123	-0.109	-0.067
	(0.116)	(0.126)	(0.074)	(0.081)	(0.048)	(0.047)	(0.116)	(0.133)	(0.084)	(0.080)
Full Demographic Controls		✓		✓		✓		✓		✓
N	157	157	157	157	157	126†	157	157	157	157

Standard errors robust to heteroskedasticity in parentheses

‡ $p < 0.10$ * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Notes: Robust SE's. Controls include those for gender, ethnicity, political beliefs, charity exposure and experience, economics majors, out of state subjects and age.

Regressions with *N* denoted by † represent models where certain observations are dropped as they predict failure with certainty, and the hurdle model does not converge.

- Unmasking does not impact likelihood of donation
- Duke score consistently is correlated with higher likelihood in donating to Christian charities and lower likelihood of donating to Secular charities

Tobit Model, Extra-Religious Competition

	All Charities		All Religious		Religious Unmasked		All Secular		Secular Unmasked	
Unmasked	1.824	2.293	1.137	3.081	4.762	-0.509	1.718	1.292	3.894	1.039
	(2.268)	(1.844)	(2.669)	(2.080)	(5.696)	(1.319)	(1.760)	(1.191)	(2.804)	(1.066)
Duke Score	0.615	0.578‡	0.751	0.641*	-0.133	0.231‡	0.229	0.295	0.347	0.474**
	(0.437)	(0.320)	(0.512)	(0.270)	(0.266)	(0.121)	(0.225)	(0.197)	(0.339)	(0.181)
Christian	-3.375	-2.997	1.552	0.122	-2.346	-2.023	-3.024	-3.236	-3.212	-2.408
	(3.458)	(2.737)	(3.146)	(2.471)	(2.676)	(1.565)	(2.956)	(2.467)	(4.109)	(1.922)
Secular	6.287	4.227	22.629*	16.113***	8.743***	-3.446‡	1.397	1.095	4.201	3.436**
	(4.630)	(2.908)	(9.674)	(3.965)	(1.333)	(1.980)	(1.446)	(1.223)	(2.162)	(1.086)
Full Demographic Controls		✓		✓		✓		✓		✓
N	107	107	30	30	15	157†	77	77	36	36

Standard errors robust to heteroskedasticity in parentheses

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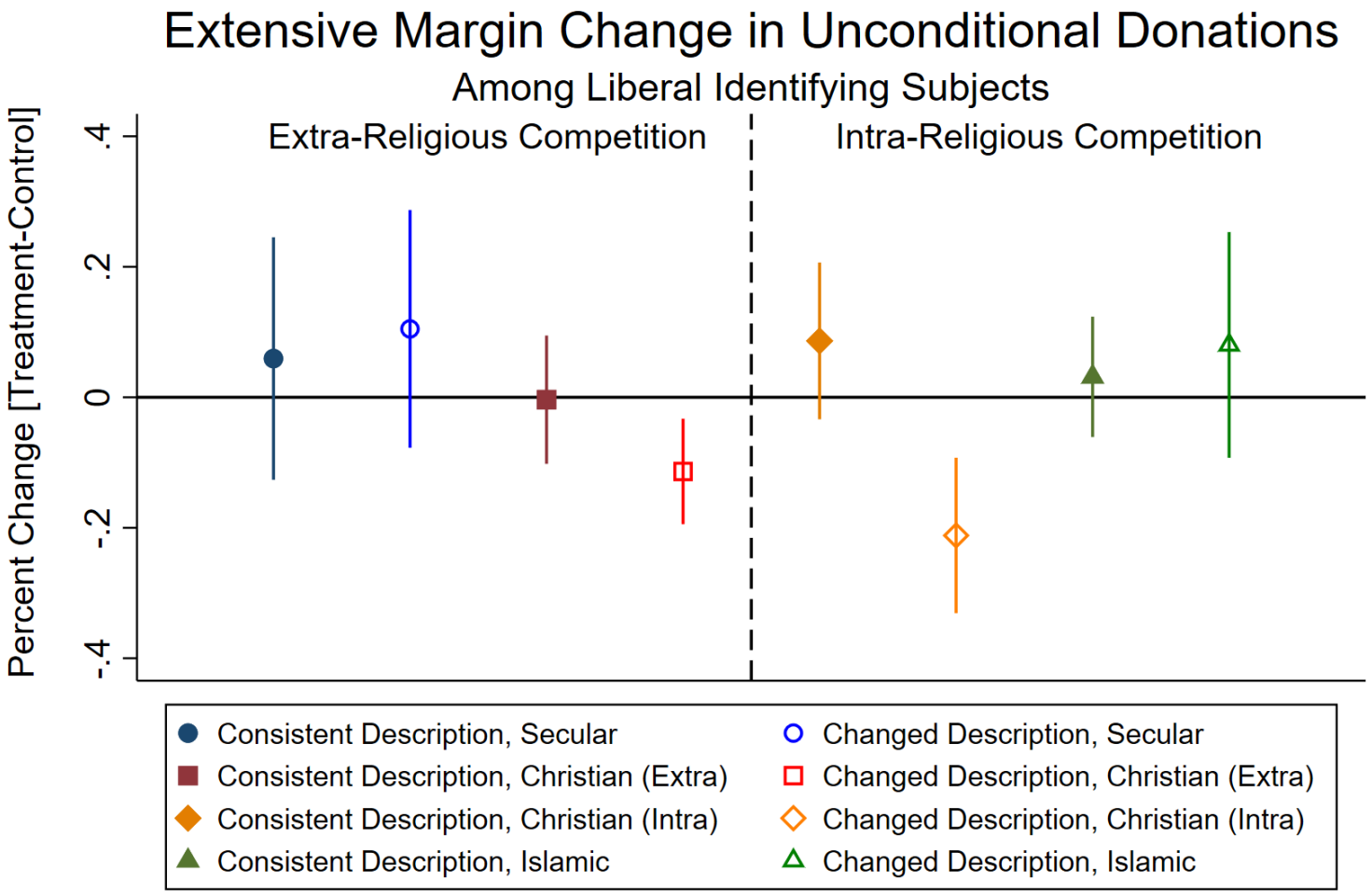
Notes: Robust SE's. Controls include those for gender, ethnicity, political beliefs, charity exposure and experience, economics majors, out of state subjects and age.

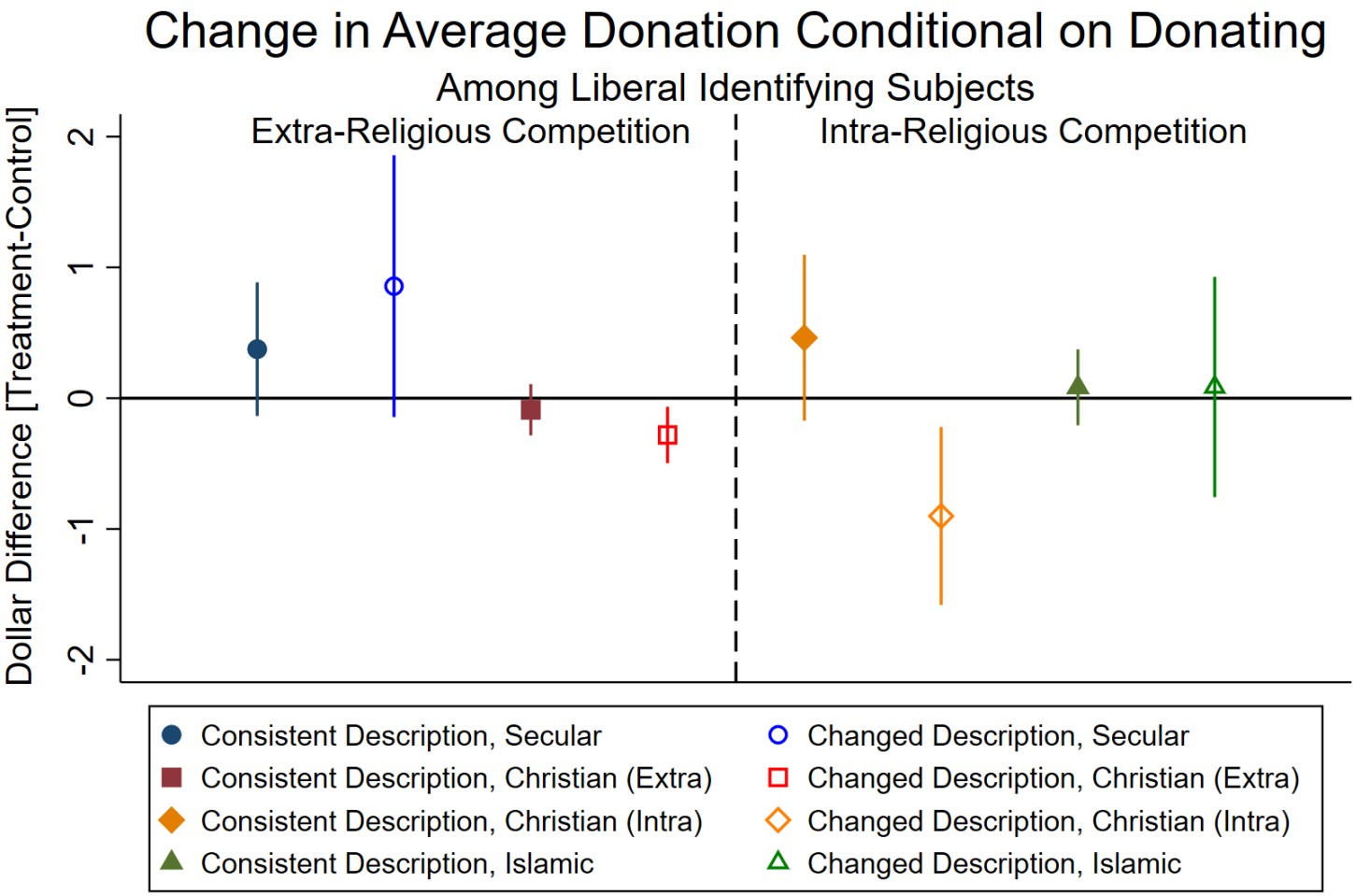
Regressions with *N* denoted by † are Tobit regressions used because the number of subjects donating to this charity type are too small for the hurdle model to converge.

- Unmasking does not impact average donation size.
- Secular individuals who do donate to religious charities as a whole donate at larger rates than religiously affiliated individuals — this does not extend to unmasked religious charities

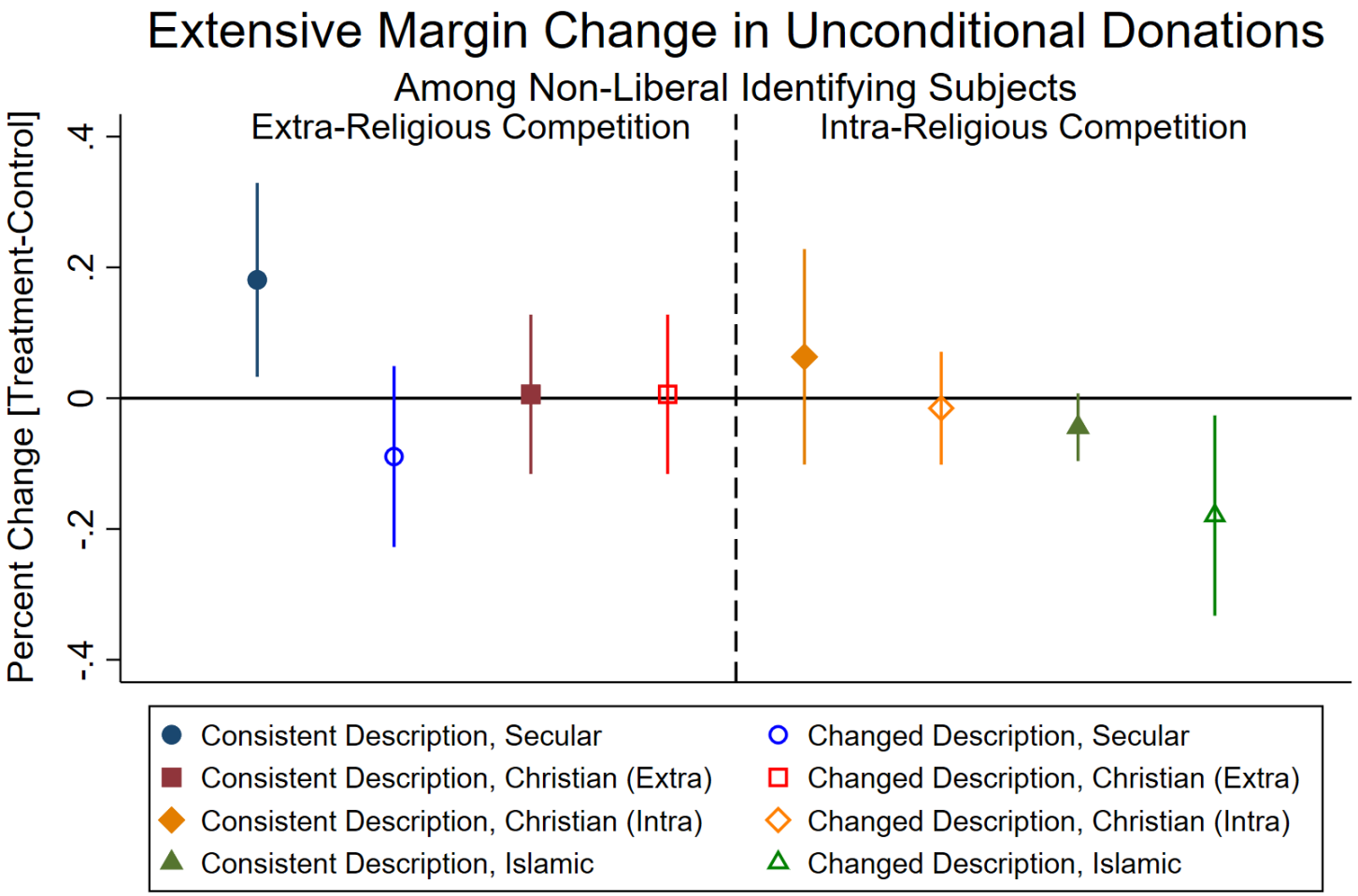
Donation Frequency Among Liberal Subjects



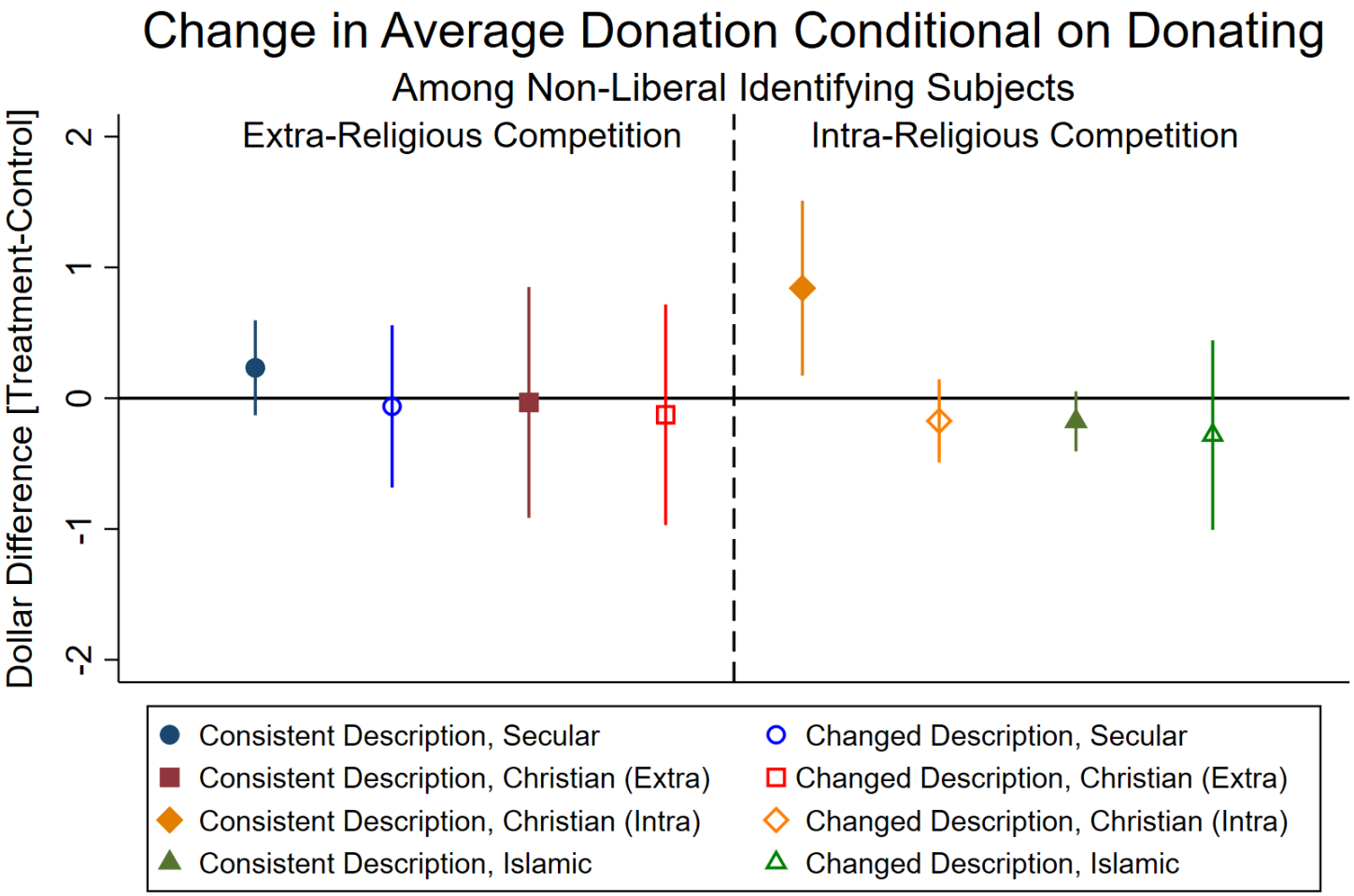
Donation Average Among Liberal Subjects



Donation Frequency Among Non-Liberal Subjects



Donation Average Among Non-Liberal Subjects



Religious Charities and Selective Display of Affiliation

- Financial incentive exists for religious charities to selectively display their religious affiliation, particularly in situations of intra-religious competition
- Strength of religiosity predicts donation likelihood and average donation better than affiliation alone
  - Results build on literature showing lack of difference in donation patterns by religiously affiliated and non-affiliated individuals
  - Strength of religiosity is a strong predictor for donor likelihood in intra-religious competition and is correlated to higher donations in extra-religious competition
- Political ideology of donors impacts how donors respond to religious affiliation information
  - Liberal subjects decrease donations to unmasked Christian charities regardless of competition circumstances
  - Non-liberal subjects do not statistically change their behavior in resposne to unmasking